

## GOVERNMENT &amp; MUNICIPALITY · REFERENCE

## Recovering Municipal Receivables

Turning uncollected non-tax revenue — utilities, EMS, fines and fees — back into budget, without alienating residents

Every city runs two books. The tax roll is worked hard and backed by powerful statutory tools. The other book — non-tax revenue like delinquent utility accounts, ambulance transport fees, code-enforcement fines and permit charges — is real money the city has already earned, and it is the book that most often goes unworked. It accumulates quietly in an aging report, and eventually it is written off or absorbed into rates and the general fund. This reference explains what sits in that book, why municipal recovery is genuinely different from commercial collections, and how a city recovers the money professionally, compliantly, and in a way it can defend at a public meeting.

### Executive summary

- Non-tax revenue — delinquent water/sewer/solid-waste, EMS and ambulance transport, code-enforcement and administrative fines, parking, permits and licenses, special assessments — is budget the city has already earned but not collected.
- Government collections is **not** commercial collections: public accountability, open-records exposure, and constituent relationships mean every account must be handled in a way the city could defend publicly.
- Resident accounts are consumer debt under the **FDCPA / Regulation F**; commercial and inter-governmental balances are not — the right partner applies each framework correctly and reports under the FCRA.
- On **pure contingency** there is no upfront cost and no budget line to defend — the city pays only a share of what is actually recovered.

## 1. What sits in the non-tax revenue book

The uncollected balances on a municipal aging report are more varied than most residents realize, and each is money already owed to the public. Delinquent **utility accounts** — water, sewer, electric and solid waste — are usually the largest single category, especially on closed or moved-out accounts a deposit never fully covered. **EMS and ambulance transport fees** follow, often left after insurance adjudication as patient responsibility. Then come the enforcement and service categories: **parking citations, code-enforcement and administrative fines, municipal court costs, building-permit, inspection and business-license fees, false-alarm fees**, returned checks, and **special assessments** for services rendered to a property. Individually many of these are small; in aggregate,

across a full-service city, they represent a meaningful recurring revenue leak that is rarely worked with any system behind it.

## 2. Why municipal recovery is different

The instinct to treat these like any other past-due invoice is exactly the mistake that gets cities in trouble. Public entities operate under constraints private companies do not, and all of them bear on how a debt can be pursued. There is **public accountability**: a resident who feels mistreated over a \$180 utility balance can raise it at a commission meeting, in the press, or at the ballot box. There is **open-records exposure**: the correspondence, call logs and vendor conduct behind a collection can become public. And there is the **constituent relationship** itself — the debtor is not just a customer but a taxpayer and a voter the city will serve for years. The practical standard that follows is simple to state and demanding to meet: every account must be worked in firm, professional language consistent with how a public-sector creditor should be represented — no harassment, no threats, nothing that creates liability — documented thoroughly enough that the city could defend it in public. A partner that collects for governments has to operate to that standard by default, not on request.

## 3. The compliance framework

Which rules apply depends on who owes the money, and getting that distinction right is central to compliant municipal recovery. When a **resident** owes the city — an unpaid utility bill, a parking fine, court costs — that account generally qualifies as consumer debt under the Fair Debt Collection Practices Act and its Regulation F, which govern validation, communication and conduct. When a **business or another government entity** owes the city, the balance is not FDCPA-governed and can be pursued as commercial debt. A capable partner applies each framework to the right account automatically, reports to consumer or commercial credit bureaus in compliance with the FCRA, and observes state-level limits — for example, consumer accounts are not collected in California, Oregon or Washington. Handled this way, compliance is not a brake on recovery; it is what makes the recovery durable and defensible.

## 4. How the money is actually recovered

Recovering non-tax revenue is a process, not a demand letter. It begins with **skip tracing** to locate residents and account-holders who have moved — the single biggest obstacle on closed utility and EMS balances. It proceeds through professional, multi-channel outreach and **structured, realistic payment plans**, because most residents resolve a balance when there is a workable path and a respectful conversation. Where reportable, **credit-bureau reporting** adds compliant leverage. And where a balance and the local statute support it, the city's stronger remedies come into play — pre-legal and legal escalation, and in many jurisdictions the ability to attach certain municipal debts as liens or certify them to the tax roll (available remedies vary by state and locality and should be confirmed with counsel). The point is to apply the right tool to each account in the right order, rather than letting everything sit at the same dead end.

## 5. Contingency: recovery with no budget burden

For a public budget, the funding model matters as much as the method. Pure contingency — no recovery, no fee — means there is no upfront cost, no retainer, and no new line item to justify to a commission or a finance committee. The city places accounts it had already effectively written off and pays only a pre-agreed share of what is actually collected, so recovered non-tax revenue is net-new money to the general fund rather than a cost

center. It also makes the aged backlog worth placing: on contingency there is no downside to working old, low-probability balances, and even partial recovery on them is revenue the city had conceded.

## How Southwest Recovery works with a city

We work government accounts the way a public-sector creditor should be represented — firm and professional, fully documented, and transparent enough to defend at a public meeting. Placement is low-lift: your finance or utility-billing team uploads an aging export through our secure portal, we map your columns with no re-keying, and outreach begins within 24 hours of a documented placement. Resident accounts are worked under the FDCPA and Regulation F, commercial and inter-governmental balances as commercial debt, and everything is reported to the appropriate bureau under the FCRA. It is pure contingency — no upfront fee, no retainer, no minimum — so a city can put a systematic recovery process behind its non-tax revenue without adding headcount, adding cost, or adding risk to the constituent relationships it depends on.

The result for a city is straightforward: real dollars returned to the general fund, constituent relationships and public trust protected, and no cost unless the recovery works. For most finance offices it is the rare improvement that adds revenue without adding budget, headcount, or risk — which is exactly why non-tax revenue is worth putting a process behind rather than writing off.

## About Southwest Recovery Services

Southwest Recovery Services recovers non-tax revenue for local government — delinquent utility accounts, EMS and ambulance transport fees, code-enforcement and administrative fines, parking citations, permit and license fees, special assessments, and any overdue balance owed to a public entity — on pure contingency since 2004. We work government accounts the way a public-sector creditor should be represented: firm and professional, fully documented, and transparent enough to defend at a public meeting. Resident (consumer) accounts are handled under the FDCPA and Regulation F; credit reporting follows the FCRA. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts nationwide from 12 offices in 7 states — with no upfront fee, no retainer and no minimum, so recovery never burdens the budget.

### Put a number on your uncollected non-tax revenue

We'll review a representative sample of your delinquent utility, EMS, fine and fee accounts and give you an honest read on what is recoverable — on contingency, so there's no cost and no budget line to defend.

Call **(866) 551-4684** · [sdietz@swrecovery.com](mailto:sdietz@swrecovery.com) · [swrecovery.com](https://swrecovery.com)

Provided for general informational purposes; not legal advice. Municipal collection authority, lien and tax-roll remedies, and consumer-protection rules vary by state and locality — confirm available remedies with counsel. Recovery figures are illustrative and vary by portfolio. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington.